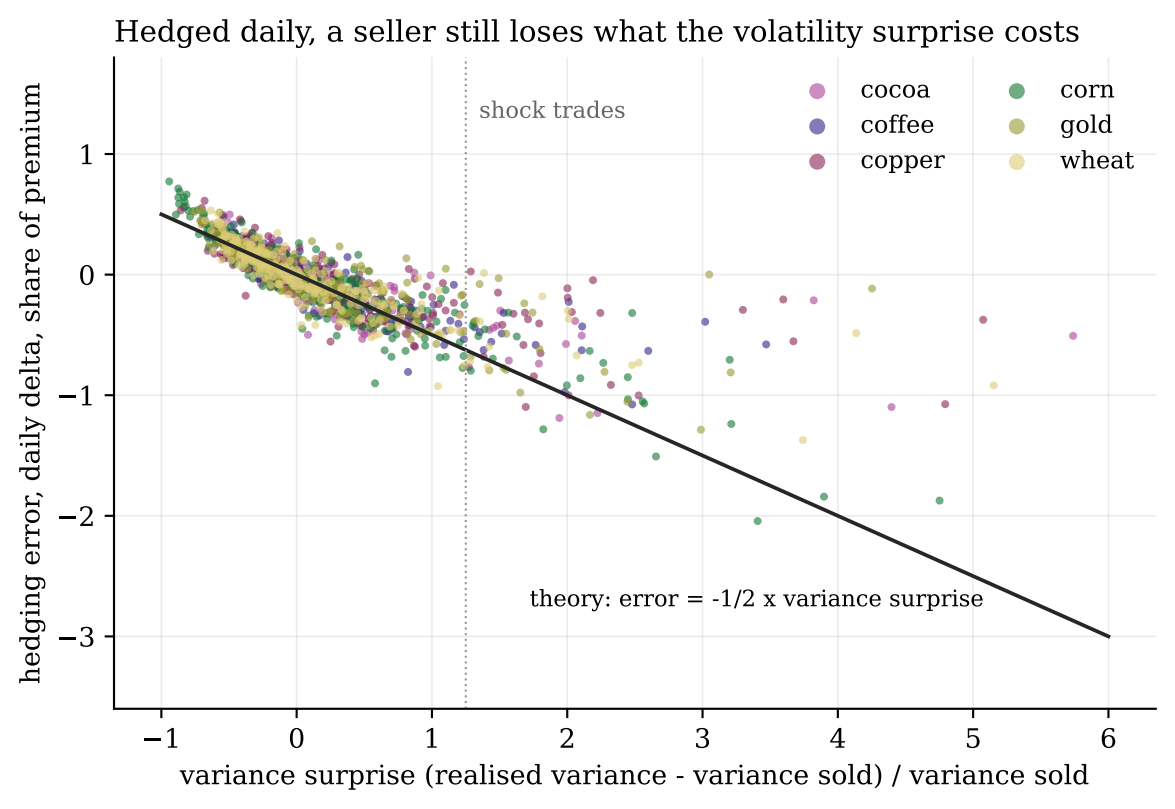
Hedged daily, a seller still loses what the volatility surprise costs
shock trades
cocoa
coffee
copper
corn
gold
wheat
theory: error = -1/2 x variance surprise
hedging error, daily delta, share of premium
variance surprise (realised variance - variance sold) / variance sold
1
0
−1
−2
−3
−1
0
1
2
3
4
5
6